

Adjusted Earnings per Share 1923–1932

Year	S. H. Kress	Hudson Motors
1932	\$2.80	\$3.54(<i>d</i>)
1931	4.19	1.25(<i>d</i>)
1930	4.49	0.20
1929	5.92	7.26
1928	5.76	8.43
1927	5.26	9.04
1926	4.65	3.37
1925	4.12	13.39
1924	3.06	5.09
1923	3.39	5.56
10-year average	\$4.36	\$ 4.75

The average earnings of about \$4.50 per share shown by S. H. Kress and Company can truly be called its “indicated earning power,” for the reason that the figures of each separate year show only moderate variations from this norm. On the other hand the Hudson Motors average of \$4.75 per share is merely an abstraction from ten widely varying figures, and there was no convincing reason to believe that the earnings from 1933 onward would bear a recognizable relationship to this average. A similar conclusion was drawn from our discussion of the exhibit of J. I. Case Company in Chap. 1.

These conclusions, reached in 1933, are supported by the results of the six years following:

Earnings per Share

Year	S. H. Kress ¹	Hudson Motors	J. I. Case
1933	\$4.23	\$2.87(<i>d</i>)	\$14.66(<i>d</i>)
1934	4.76	2.10(<i>d</i>)	7.38(<i>d</i>)
1935	4.63	0.38	5.70
1936	4.62	2.14	12.37
1937	4.62	0.42	19.20
1938	2.76	2.94(<i>d</i>)	8.89
1939	3.86	0.86(<i>d</i>)	1.87(<i>d</i>)

¹ Stated on basis of old capitalization, before 2-for-1 split-up in 1936.